0452 | PAPER 2

TOPIC 03
Verification of accounting records

FULL ANSWER GUIDE | 2021-2025

18 indexed questions • 360 total marks

Independently reformatted and rewritten for study. Original examination questions are not reproduced.

CONTENTS

How to use: open the matching question in the topical bank, attempt it first, then compare with the answer guide below. Standard accounting terms and figures are retained; explanatory points are shortened and independently worded.

3.2 Correction of errors

Question 01 | Feb/Mar 2021 Paper 22 Question 3 - 20 marks

3(a) The suspense account balance is entered on the trial balance

Definition: means equal debits credits trial balance

3(b) Rachel 11

Journal

Error number	Details	Debit $	Credit $
	Premises repairs	220	
	Premises		220
	Motor vehicles	3400	
	Neil’s Wheels		3400
	Sales	100	
	Purchases		100
	Sales returns	19	
	Suspense		19
	Suspense	50	
5	Bank interest received		25
	Bank charges		25

3(c)(i) Error 3.

3(c)(ii) Error 2.

3(d)

Error number	Gross Profit			Profit for the year		
	No effect	Understated $	Overstated $	No effect	Understated $	Overstated $
1	✓					220
2	✓			✓		
3	✓			✓		
4			19			19
5	✓				50	

3(e) The accounting records may contain other errors which have not yet been found

END OF ANSWER

Question 02 | May/June 2021 Paper 22 Question 5 - 20 marks

5(a)

Error	Entries required to correct the error			
	Debit		Credit	
	Account	$	Account	$
Cash drawings, $200, had been omitted from the drawings account.	Drawings	200	Suspense	200
A petty cash book payment, $31, to Abel, a supplier, had been recorded in the column for office expenses.	Abel	31	Office expenses	31
Sales returns, $105, had been correctly entered in the customer’s account but had been credited to the purchases returns account.	Sales returns Purchases returns	105 105	Suspense	210
A payment for motor expenses, $72, had been recorded in the motor expenses account as $172.	Suspense	100	Motor expenses	100
A purchase invoice, $102, from Abel, had been debited to Abel and credited to purchases.	Purchases	204	Abel	204

5(b) Kia

Suspense account

Date 2021	Details	$	Date 2021	Details	$
April 30	Trial balance differenceOF	310	April 30	Drawings	200
	Motor expenses	100		Sales returns	105
				Purchases returns	105
		410			410

5(c) $

Original balance	327
Purchases	204
Office expenses	(31)
Corrected balance	500OF

5(d) The principle of materiality was applied.

The cost of the calculator was an immaterial amount

Risk: cost recording calculator non current asset outweighed benefit

The amount of depreciation would be insignificant
The calculator may not last over 12 months

END OF ANSWER

Question 03 | Oct/Nov 2021 Paper 21 Question 3 - 20 marks

3(a) Anil 12

Journal

Error	Details	Debit $	Credit $
1	Suspense	7100	
	Sales		7100
2	Sales returns	520	
	Purchases	520	
	Suspense		1040
	OR		
	Sales returns	520	
	Suspense		520
	Purchases	520	
	Suspense		520
3	Bank charges	320	
	Suspense		320
4	Bank	1200	
	Suspense		600
	Insurance		600
	OR		
	Bank	1200	
	Suspense		1200
	Suspense	600	
	Insurance		600

3(b) Anil

Suspense account

Date	Details	$	Date	Details	$
	Sales	7100		Difference on trial balance	5140
				Sales returns	520
				Purchases	520
				Bank charges	320
				Bank	600
		7100			7100

Key point: matching totals own balance brought down

Key point: Alternative presentation used journal entry error 4 3

Date	Details	$	Date	Details	$
	Sales	7100		Difference on trial balance	5140
	Insurance	600		Sales returns	520
				Purchases	520
				Bank charges	320
				Bank	1200
		7700			7700

3(c) Commission, compensating, complete reversal, omission, original entry, principle

Any 2 × 1 mark

END OF ANSWER

Question 04 | Oct/Nov 2021 Paper 22 Question 4 - 20 marks

4(a) Nikita

Journal

Error	Details	Debit $	Credit $
1	Suspense	2000	
	Insurance		2000
2	Suspense	1000	
	Discount received		500
	Discount allowed		500
3	Kajal	400	
	Suspense		400
4	Aisha	700	
	Anisah		700

4(b) Nikita

Suspense account

Dr Cr

Date	Details	$	Date	Details	$
	Insurance 2 000 Discount received Discounts allowed	 500 500 3 000	Difference on trial balance Kajal	2 600 400	 3 000

4(c) Nikita

Key point: Statement corrected profit year ended 30 June 2021

	Increase in profit $	Decrease in profit $	$
Profit for the year before corrections			28 000
Error 1	2 000	-	
Error 2	1 000	-	
Error 3	no effect	-	
Error 4	no effect	-	
	3 000		3 000
Corrected profit for the year			31 000 OF

END OF ANSWER

Question 05 | May/June 2022 Paper 22 Question 3 - 20 marks

3(a) Mosi 11

Journal

Error number	Details	Debit $	Credit $
1	Suspense	192	
	Discount received		96
	Commission received		
2	Sales	927	
	Suspense		927
3	Motor expenses	77	
	Bank		77
4	Petty cash	135	
	Bank		135
5	Stacey	160	
	Tracey		160

3(b) Mosi

Suspense account

Dr Cr

Date	Details	$	Date	Details	$
2022 Apr 30	Difference on trial balanceOF	735	2022 Apr 30	SalesOF 927	

Discount received 96
Commission received 96
927 927

3(c) Mosi

Calculation of corrected profit

	-	+	
	$	$	$
Original profit			39 970
Discount received		96	
Commission received		96	192
Sales	9270F		
Motor expenses	77		(1 004)
Corrected profit for the year			39 1580F

END OF ANSWER

Question 06 | Feb/Mar 2023 Paper 22 Question 2 - 20 marks

2(a) Rai

Journal

Error number	Details	Debit $	Credit $
1	Wages	200	
	Suspense		200
2	Purchases	494	
	Stella		494
3	Sales	100	
	Rent		100
4	Suspense	75	
	Motor expenses		75
5	Jasper	27	
	Suspense		27

2(b) Rai

Suspense account

Dr Date	Details	$	Date	Details	$ Cr
2023			2023		
Jan 31	Difference on trial balance	152	Jan 31	Wages	200
	Motor expenses	75		Jasper	27
		227			227

2(c) $ $

Draft profit	9 800	
Error 1	(200)	
Error 2	(494)	(694)
		9 106
Error 4		75
Corrected profit		9 1810F

2(d)(i) Assist in the preparation of financial statements

2(d)(ii) Opening entries

Purchase of non-current assets on credit
Sale of non-current assets on credit
Non-regular transactions
Year-end transfers to income statement
Recording depreciation
Writing off irrecoverable debts
Creation of/adjustment to provision for doubtful debts
Contra entries between sales and purchases ledgers
Drawings of goods/non-current assets

END OF ANSWER

Question 07 | May/June 2023 Paper 21 Question 3 - 20 marks

3(a) Entries required to correct the error

Error	Debit Account	$	Credit Account	$
A payment for rent, $300, had been				

	Debit	$	Credit	$
debited to the insurance account.	Rent paid	300	Insurance	300
Sales to Raymond of $105, had been debited to the sales account and credited to Raymond’s account.	Raymond	210	Sales	210
Eshe’s total drawings from the bank for her own use, $9 500, had been debited to the cash account.	Drawings	9 500	Cash	9 500
A purchases invoice from Danika for $137, had been recorded in her account and in the purchases journal as $173.	Danika	36	Purchases	36
Returns inwards, $44, had not been recorded in the returns inwards account.	Returns inwards	44	Suspense	44
The motor expenses account had been overcast by $100.	Suspense	100	Motor expenses	100

3(b) Eshe

Suspense account

Dr | Cr

Date	Details	$	Date	Details	$
2023 Mar 31	Motor expenses	100	2023 Mar 31	Difference on trial balance	56
				Returns inwards	44
		100			100

OF

3(c) Calculation of closing capital

	$	$	$
Capital at 1 April 2022			31 000 }
Draft profit		15 600	}
Add Sales invoice	210		
Purchases invoice	36		
Motor expenses	100	346	
		15 946	
Less Returns inwards		44	15 902
			46 902
Less Drawings			9 500
Capital at 31 March			37 402OF

END OF ANSWER

Question 08 | May/June 2023 Paper 22 Question 2 - 20 marks

2(a) Ramla

Journal

Item number	Details	Debit $	Credit $
1	Irrecoverable debts	99	
	Mai		99
2	Fixtures and fittings	875	
	Padma		875
3	Loan	500	
	Loan interest		500
4	Bank / cash	180	
	Rent		180
5	Drawings	120	
	Wages		120

2(b)

Item	Increase in profit $	Decrease in profit $	No effect on profit	Profit $
Draft profit				11 650
1		99		
2			0	
3	500			
4	180			
5	120			
Adjusted profit	800	99	0	12 351OF

2(c)(i) The prudence principle states that profits and assets are not overstated / losses and liabilities are not understated

Decision point: Irrecoverable debts written off ensure profits assets overstated understate loss

2(c)(ii) The business entity principle states that the business is regarded as being completely separate from the owner of the

business
OR

Decision point: entity principle states transactions recorded view

Decision point: Drawings recorded correctly ensure profits understated capital overstated

END OF ANSWER

Question 09 | Oct/Nov 2023 Paper 22 Question 4 - 20 marks

4(a)

	Entries required to correct the error			
	Debit		Credit	
Error	Account	$	Account	$
A payment for rent, $350, had been debited to the wages account.	Rent payable	350	Wages	350
The sales journal for September had been overcast by $90.	Sales	90	Suspense	90
Sales returns, $110, had been recorded as purchases returns.	Purchases returns Sales returns	110 110	Suspense	220
A payment for office expenses, $18, had been recorded in the office expenses account as $81.	Suspense	63	Office expenses	63
A petty cash book payment, $29, to Cole, a supplier, had been recorded in the column for motor expenses.	Cole	29	Motor expenses	29

4(b) Rachel

Suspense account

Dr					Cr
Date	Details	$	Date	Details	$
2023 Sep 30	Difference on trial balanceOF Office expenses	247 63	2023 Sept 30	Sales Purchases returns Sales returns	90 110 110
		310			310

4(c) $ $

Draft profit		18 243
Add:		
Office expenses	63	
Motor expenses	29	92
		18 335
Less:		
Sales	90	
Purchases returns	110 }	
Sales returns	110 }	(310)
Corrected profit		18 025OF

4(d) Financial statements can still be reliable if errors are present provided those errors are not material or significant

END OF ANSWER

Question 10 | May/June 2024 Paper 23 Question 3 - 20 marks

3(a)(i) Bank statement

3(a)(ii) Error 4

3(b) Akil

Journal

Error number	Details	Debit $	Credit $

1	Sales returns	3 416	
	Sales		3 416
2	Insurance (115 × 2)	230	
	Suspense		230
3	Discount received	47	
	Discount allowed	47	
	Suspense		94

3(c)(i) Shows that all the errors have not yet been found/corrected

3(c)(ii) Akil

Dr Suspense account Cr

Date	Details	$	Date	Details	$
2024			2024		
Feb 29	Difference on Trial balance	385	Feb 29	Insurance	230
	Purchases	90		Discount received }	47
				Discount allowed }	47
				Balance c/d	151
		475			475
March 1	Balance b/dOF	151			

3(d)

	$	$	$
	Plus	Minus	
Original draft profit			17 420
Error 4	52		
Error 5	90		
Error 2		230	
Error 3		94	
	142	324	(182)
Draft profit after corrections			17 238OF

END OF ANSWER

3.3 Bank reconciliation

Question 01 | May/June 2021 Paper 21 Question 1 - 20 marks

1(a) Rahat 11

Cash Book

Date	Details	Disc.	Cash	Bank	Date	Details	Disc.	Cash	Bank
2021		$	$	$	2021		$	$	$
Mar 1	Balance b/d		150		Mar 1	Balance b/d			1980
3	Sales		580		6	Insurance			360
17	Sales	140			9	GH Limited	4		196
27	Disposal		50		13	Stationery		75	
31	Balance c/d			2246	30	Colin	10		340
					31	Balance c/d		215	
			290	2876			14	290	2876
Apr 1	Balance b/d		215		Apr 1	Balance b/dOF			2246

OFOF

+ dates

1(b)

	Updating cash book	Bank reconciliation statement
Cheque from Burgess dishonoured	▯	
Cheque to Colin unpresented		▯
Overdraft interest	▯	
Standing order paid for rates	▯	

1(c) Advantages

Loan interest may be lower than overdraft interest
No interest on overdraft to pay
Have a longer time to repay a loan
May improve relationship with bank
Bank balance would be improved/liquidity would be improved
New office furniture should lead to a better working environment

(Max 2)

Disadvantages
Loan will have to be repaid
Loan interest will have to be paid
Early repayment may not be allowed
The bank may require security
No income/profit is generated from the office furniture

(Max 2)

Recommendation

END OF ANSWER

Question 02 | Oct/Nov 2022 Paper 22 Question 3 - 20 marks

3(a) MG

Cash book (bank columns only)

Dr Date	Details	$	Date	Details	Cr $
2022			2022		
Aug 31	Balance b/d	25 600	Aug 31	RJ (dis cheque)	420
	Rates (SO)	50		Insurance (DD)	110
				Bank charges	75
				Balance c/d	25 045
		25 650			25 650
Sep 1	Balance b/d	25 045 OF			

3(b) MG

Bank reconciliation statement at 31 August 2022

	$
Balance shown in cash book	25 045 OF
Add unpresented cheques JW	680
	25 725
Less uncredited deposits TH	(910)
Balance shown on bank statement	24 815

Alternative presentation:

	$
Balance shown on bank statement	24 815
Add uncredited deposits TH	910
	25 725

Less unpresented cheques JW (680)
Balance shown in cash book 25 045 OF

3(c) Identify/correct either errors or omissions in the cash book

Identify errors on the bank statement
Update the cash book/obtain correct bank balance
Assist in discovering fraud/deter or reduce risk of fraud
Identify amounts not credited
Identify cheques not presented
Identify out-of-date (stale) and dishonoured cheques

3(d) Insufficient funds in the bank account

No/incorrect signature
No date
No amount
No payee
Words and figures disagree

3(e) A standing order is when a person instructs their bank to pay a fixed sum at fixed intervals to another person

Definition: direct debit permission given named person collect bank dates amounts

can vary

3(f) Accept - Order

Sales/revenues will increase
May lead to future orders
Increase in profit for the year
Could lose order if no discount given

Decline - Order
Existing customers may request a similar discount
Reduction in profit if discount given to all existing customers
May damage relationship of existing customers
Reduction in gross margin

Recommendation

END OF ANSWER

Question 03 | Oct/Nov 2023 Paper 21 Question 1 - 20 marks

1(a)(i) Shakir

Journal

Date	Details	Debit $	Credit $	
2023				
1 Sep	Motor vehicle	9 500		}
	Inventory	1 240		}
	Bank	1 682		}
	Latif		200	}
	Harrison		237	}
	Capital		11 985}	
		12 422	12 422	}}}}

1(a)(ii) Full details are available about the assets, liabilities, revenues and expenses of the business

The preparation of financial statements is relatively straightforward

Key point: calculation profit loss year likely reliable accurate

More informed decision-making is possible

Key point: greater degree control activities exercised

The possibility of fraud is reduced

Key point: Comparisons results previous years businesses

Detailed records are available for reference purposes

Key point: Information required bank lender readily available

1(b) Shakir 11

Cash Book

Date	Details	Disc Alld	Cash	Bank	Date	Details	Disc Rec	Cash	Bank
2023		$	$	$	2023		$	$	$
Sep 1	Balance b/d		1 682		Sep 2	Rent		420	
4	Bank		350		4	Cash			350
17	Sales	}		290	7	Latif	6		194

```
     28     Sydney          }                        100          Wages               161
                                                                   12 Harrison       5                  95
                                                                   29 Balances        c/d                         189     1013
                                                                   30
                                         -         350   2 072                                           11      350     2 072
  Oct 1 Balances       b/d                         189   1 013OF
                                               * OF
          *For both balances
   + dates
```

1(c) Cash book balance 1 013OF Balance per bank statement 763

Sales by credit transfer	175		Outstanding lodgement	100
Less bank charges	(35)	OR	Bank error	290
Corrected bank balance	1 153OF		Corrected bank balance	1 153OF

END OF ANSWER

3.4 Control accounts

Question 01 | Oct/Nov 2021 Paper 22 Question 1 - 20 marks

1(a) Ayesha 14

Sales ledger control account

Dr Date	Details	$	Date	Details	Cr $
2021			2021		
Aug 1	Balance b/d	9 800	Aug 1	Balance b/d	420
31	Sales	88 850	31	Bank	82 100
	Interest	90		Discount allowed	900
	Balance c/d	350		Irrecoverable debts	300
				Sales returns	2 400
				Contra	2 920
				Balance c/d	10 050
		99 090			99 090
2021			2021		
Sep 1	Balance b/dOF	10 050	Sep 1	Balance b/d	350

Purchases ledger control account

Dr Date	Details	$	Date	Details	Cr $
2021			2021		
Aug 31	Bank	50 600	Aug 1	Balance b/d	7 700
	Discount received	600	31	Purchases	55 400
	Contra	2 920			
	Balance c/d	8 980			
		63 100			63 100
			2021		
			Sep 1	Balance b/dOF	8 980

1(b)

Item	Book of prime entry
Returns	Sales returns journal
Discount allowed	Cash book
Interest charged to customer on overdue account	General journal/Journal
Contra entry	General journal/Journal

1(c) Overpayment by credit customer

Credit customer returned goods after settling the account
Credit customer paid for goods in advance
Payment by credit customer before cash discount was deducted

END OF ANSWER

Question 02 | Feb/Mar 2022 Paper 22 Question 2 - 20 marks

2(a) Ravi

Sales ledger control account

Dr Date	Details	$	Date	Details	Cr $
2021			2021		
Feb 1	Balance b/d	12 510*	Feb 1	Balance b/d both	1 245*
2022			2022		
Jan 31	Sales	134 000	Jan 31	Bank	96 250
	Interest charged	1 104		Cash	12 890
				Sales returns	4 000
				Irrecoverable debts	9 100
				Contra entries	1 677
				Discount allowed	4 643
				Balance c/d	17 809
		147 614			147 614
2022					
Feb 1	Balance b/dOF	17 809			

*for both opening balances

2(b) Prudence

2(c)(i) Bank manager

Level of trade receivables may influence bank’s decision

Key point: bank believes trade receivables too high wish lend Risk: trade receivables too high adequate funds repay loan bank overdraft interest Risk: trade receivables too low adequate funds repay loan bank overdraft interest

2(c)(ii) Trade payables

Level of trade receivables may influence trade payable’s decision

Key point: trade payable believes receivables insufficient decide supply continue

cash terms only

Key point: trade receivables high adequate funds pay payables

2(d) Reasons for employing a credit controller

Should result in lower irrecoverable debts
Should control the amount owed by trade receivables

Risk: Payments trade receivables likely received quickly collection period decreases Key point: Ravi time freed up carry out tasks Key point: salary credit controller irrecoverable debts

Reasons for not employing a credit controller
Have to pay an annual salary
Salary would be paid regardless of amount of debts recovered
No guarantee that all debts will be collected
Legal fees may be incurred for any legal action

Risk: Damage relationship customers buy different supplier lose customer loyalty

Could instead try to increase cash sales

Recommendation

END OF ANSWER

Question 03 | Oct/Nov 2022 Paper 22 Question 2 - 20 marks

2(a)

Item	Book of prime entry
Discount received from credit suppliers	Cash book
Purchases returns	Purchase returns journal
Contra entries	General journal
Interest charged by credit suppliers	General journal

2(b) A balance on a purchase ledger account is transferred to an account for the same business in the sales ledger

Key point: Purchase ledger debited sales credited

2(c) MC

Purchase ledger control account

Date 2022	Details	$	Date 2022	Details	$
Jul 1	Balance b/d	130 *	Jul 1	Balance b/d	21 400* both
31	Purchase returns	9 800	31	Purchases	259 600
	Bank	228 200		Interest charges	150
	Discount received	12 900		Balance c/d	180
	Cash	500			
	Contra	2 260			
	Balance c/d	27 540			
		281 330			281 330
Aug 1	Balance b/d	180 **	Aug 1	Balance b/d	27 540 OF** both

2(d) Reduce cost of goods/increase gross profit/lower selling price

Reliability of new supplier/guaranteed supplier
Must consider whether low price will be maintained/currency fluctuations
Must consider whether goods will be of an acceptable quality
Possible language differences/difficulty of communications
May be more difficult in case of problems/disputes
May experience delivery problems
Contract is binding for one year

Recommendation

END OF ANSWER

Question 04 | Feb/Mar 2023 Paper 22 Question 3 - 20 marks

3(a) Lucas

Sales ledger control account

Dr Date 2023	Details	$	Date 2023	Details	$ Cr
Jan 1	Balance b/d	14 940	Jan 31	Returns inwards	920
31	Sales	12 736		Cash }	685

				Bank }	10 620
				Irrecoverable debts	140
				Contra	180
				Balance c/d	15 131
		27 676			27 676
Feb 1	Balance b/dOF	15 131			

3(b) Lucas

Purchases ledger control account

Dr | Cr

Date	Details	$	Date	Details	$
2023			2023		
Jan 31	Returns outwards	463	Jan 1	Balance b/d	8 450
	Bank	6 675	31	Purchases	7 325
	Discount received	210		Interest	166
	Contra	180			
	Balance c/d	8 413			
		15 941			15 941
			Feb 1	Balance b/dOF	8 413

3(c) Assist in locating errors

Key point: proof arithmetical accuracy ledgers they control

Provide the total of trade receivables and trade payables immediately
Also valid: draft financial statements to be prepared quickly

Key point: Provide summary transactions affecting trade receivables payables

May help to reduce fraud

3(d) For selling the equipment to pay supplier

Release funds to pay most of amount outstanding/increase liquidity
Would reduce any interest supplier may charge
Would maintain good relationship with supplier
Would earn a profit on disposal

Key point: affect ability earn profit

New equipment could be purchased when funds are available

Against selling the equipment to pay supplier
May have to pay interest to the supplier

Key point: damage relationship supplier pay requested Key point: provide enough pay supplier full rest cash bank

May not be possible to operate efficiently without the equipment

Risk: cost replace equipment owing supplier Risk: consider obtaining money elsewhere trade receivables bank overdraft introducing capital etc

Recommendation

END OF ANSWER

Question 05 | Feb/Mar 2024 Paper 22 Question 2 - 20 marks

2(a)(i) Samir

Journal

Date	Details	Debit $	Credit $
2023			
Dec 31	Irrecoverable debts	178	
	Ria		178
	Amount due from Ria written off due to bankruptcy.		

2(a)(ii) To comply with the prudence principle/avoid overstating the profit for the year/avoid overstating the trade receivables

Key point: comply matching principle ensure irrecoverable debt recognised year

sale was made

Key point: unlikely all amounts due trade receivable received

2(b) Samir

Sales ledger control account

Dr | Cr

Date	Details	$	Date	Details	$
2023			2023		
Jan 1	Balance b/d	10 115	Dec 31	Sales returns	5 234
Dec 31	Sales	124 670		Bank	98 620
	Interest charged	139		Cash	11 470
				Contra	1 833
				Discount allowed	3 125

			Irrecoverable debts	178	
			Balance c/d		14 464
		134 924			134 924
2024					
Jan 1	Balance b/dOF	14 464			

2(c)(i) Advantages:

Customers would pay the full amount of each invoice

Risk: Profit year increase expenses reduced

Book-keeping would be less complicated
May improve relationship with trade payables/may reduce trade payables turnover
May be able to obtain cash discount from trade payables
Trade payables may charge interest if payment made late

Disadvantages:

Key point: incentive customers pay quickly take longer

Increased risk of irrecoverable debts
Customers may buy less/go elsewhere/sales decrease/relationship with customers may deteriorate

Key point: half sales made cash removal cash discount limited effect

Recommendation

2(c)(ii) Increase selling price

Reduce other expenses
Reduce drawings/introduce additional capital
Apply for a short-term loan/overdraft
Charge interest on overdue accounts
Improve credit control

END OF ANSWER